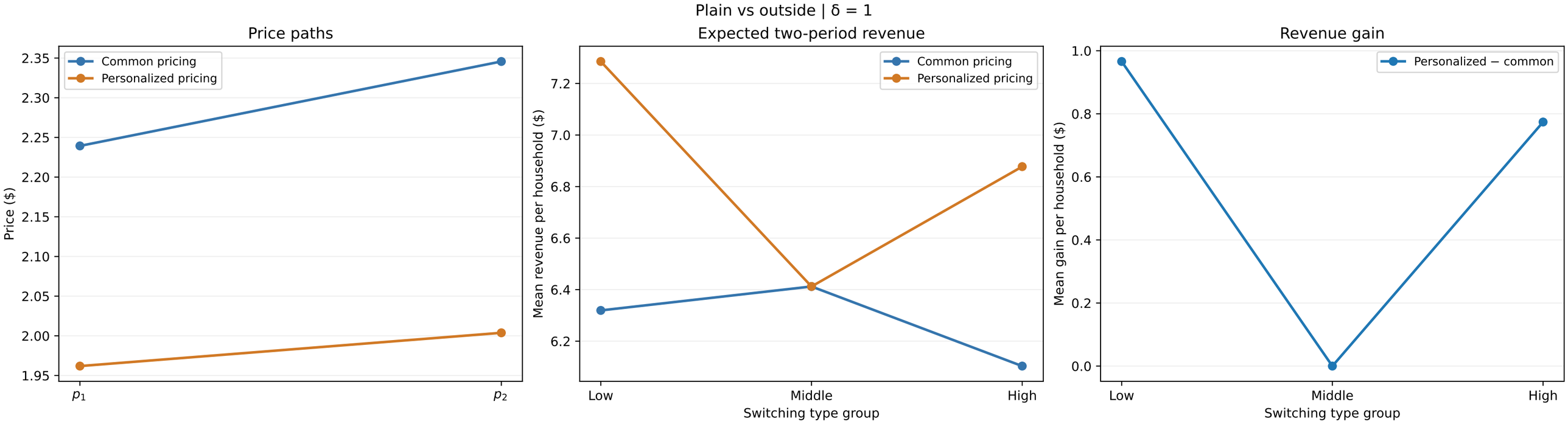
Plain vs outside | δ = 1
Price paths
Common pricing
Personalized pricing
Price ($)
2.35
2.30
2.25
2.20
2.15
2.10
2.05
2.00
1.95
p_1
p_2
Expected two-period revenue
Common pricing
Personalized pricing
Mean revenue per household ($)
7.2
7.0
6.8
6.6
6.4
6.2
Low
Middle
High
Switching type group
Revenue gain
Personalized − common
Mean gain per household ($)
1.0
0.8
0.6
0.4
0.2
0.0
Low
Middle
High
Switching type group